

BEFORE THE FEDERAL MARITIME COMMISSION

CHINA UNITED LINES, LTD,

Complainant,

v.

AMAZON.COM SERVICES LLC

AMAZON LOGISTICS, INC.

and

BEIJING CENTURY JOYO COURIER SERVICE CO.,
LTD.,

Respondents.

DOCKET NO. 25-04

**RESPONDENTS' OPPOSITION TO
COMPLAINANT'S MOTION TO STAY PROCEEDING**

Pursuant to Rule 71(b) of the Commission's Rules of Practice and Procedure, 46 C.F.R. § 502.71(b), Respondents Amazon.com Services LLC, Amazon Logistics, Inc., and Beijing Century Joyo Courier Service Co., Ltd. ("Amazon") hereby oppose the Motion of Complainant China United Lines, Ltd., ("China United") for an indefinite stay of this proceeding until the Commission decides its appeal. The Motion should be denied.

The Motion discusses no precedent of the Commission, and none of any court, granting a stay in any circumstance, much less in circumstances similar to those present here. China United makes the broad assertion that a stay would "significantly save the time and resources of both parties from having to duplicate discovery efforts" if it is successful on its appeal. Motion at 3. This assertion is directly undercut by statements elsewhere in the Motion that the discovery China United would seek as to the dismissed Counts II-V does not overlap with the discovery that it claims it needs for the remaining Count I. *See id.*, at 2-3 (stating that Count I will "involve extensive discovery into the pretextual, fraudulent nature of Amazon's actions," Count V into

“whether Amazon’s termination of the Service Contract functioned as a ‘cancellation’ within the meaning of the regulation,” and Counts II-IV into the “status of Amazon and its affiliates as a common enterprise”). Your Honor has ruled in any event that the discovery China United claims is necessary as to the dismissed claims is irrelevant to the questions presented. *See* June 6 Order at 15 (discovery as to common ownership and control irrelevant where no corporate veil-piercing allegations were made, only that each party participated in shipments under the contract), & 22-23 (proffered expert declaration as to the meaning of a regulation insufficient to overcome its plain meaning).

The Motion should be denied on other grounds as well. First, China United entirely ignores Rule 221(d), 46 C.F.R. § 502.221(d), which “provides that where a party seeks leave to appeal, the certification of an appeal will not operate as a stay of the proceeding before the presiding officer.” *Samsung Electronics America, Inc. v. Orient Overseas Container Line Ltd.*, Dkt. No. 24-17, slip op. at 4 (ALJ, June 11, 2025). The Commission’s rules thus “contemplate situations where a matter can proceed before the presiding officer while part of it is pending on appeal before the Commission.” *Id.* at 4-5.

In the *Samsung Electronics* proceeding, Judge Ambrow denied a stay motion that, like the present one, was supported only by general assertions that it would be efficient to wait for the Commission before moving forward, citing Rule 221(d). If such assertions were enough, Rule 221(d) would be rendered a nullity. A stay pending appeal was also denied in *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Dkt. No. 09-01, 2010 FMC LEXIS 43, at *39 (ALJ, Aug. 13, 2010),¹ even though the judge had certified the appeal under Rule 221 as involving a “controlling

¹ No Westlaw citation is currently available for this Order, which can be accessed online in the Federal Maritime Commission Reading Room at the following link:

question of law” as to which “grounds for difference of opinion are not insubstantial” and found that certification could materially advance the litigation. Denial of a stay is even more appropriate in this case where, as in *Samsung Electronics*, the appeal is taken under Rule 227 and such findings have not and cannot be made.

Second, China United has failed to assert, much less demonstrate, a substantial likelihood of success on appeal, or even “not insubstantial” grounds for difference of opinion, on the issues it raises. Its Motion thus also fails for this reason alone. *See Mitsui*, 2010 FMC LEXIS 43, at *19, *33-35 (applying the traditional four factor test for a stay and denying a stay where no strong showing of likely success on the merits was made) (citing *Wisconsin Gas Co. v. FERC*, 758 F.2d 669, 673-674 (D.C. Cir. 1985) and *Virginia Petroleum Jobbers Ass’n v. FPC*, 259 F.2d 921, 925 (D.C. Cir. 1958)(each applying the four factor test)); *see also Winter v. Natural Resources Def. Council*, 555 U.S. 7, 20 (2008) (plaintiff seeking interlocutory injunctive relief “must establish that he is likely to succeed on the merits”). Indeed, China United does not even address the four factors traditionally considered in assessing a stay request. Likelihood of success on appeal is necessary to China United’s assertions of efficiencies from a stay, since if its appeal is denied there is no possible duplication of efforts if discovery proceeds on Count I now. In that event a stay will merely have caused unnecessary delay.

Third, China United ignores the Commission’s directive that a party seeking a stay “has the burden to demonstrate the need for the stay,” *Greatway Logistics Group, LLC v. Ocean Network Express Pte. Ltd.*, Dkt. No. 21-04, 2021 WL 3090768, at *2-*4 (ALJ, July 16, 2021), and must first “make out a clear case of hardship or inequity in being required to go forward, if there is even

a fair possibility that the stay for which he prays will work damage to someone else.” *Exclusive Tug Arrangements in Port Canaveral, Florida*, Dkt. No. 02-03, 2002 WL 31556298, at *2 (FMC, Nov. 15, 2002) (citing 46 C.F.R. § 502.201(f), and *Landis v. N. Am. Co.*, 299 U.S. 248, 254-55 (1936)). China United’s vague allegations that a stay would be “efficient” fall far short of this standard.

Finally, China United’s Motion ignores the posture of this case and its relationship to other cases. Discovery is ongoing in a dispute pending in federal court on the same facts, and Your Honor has ruled that the parties may use in this proceeding any discovery produced in that federal court litigation or in a related arbitration China United has also previously filed. June 6 Order, at 23. China United’s assertion that it would be inefficient for this litigation to proceed rings hollow given its repeated initiation of actions arising out of this same underlying dispute, and the fact that the parties are already engaged in discovery on the dispute. Moreover, a stay would, as stated in *Exclusive Tug Arrangements*, “work damage to someone else,” namely Amazon, against which China United has made baseless allegations of fraud to try to shoehorn the matter into the Commission’s jurisdiction, and which has an interest in moving forward promptly to address these baseless allegations. *See Mitsui*, 2010 FMC LEXIS *37-*38 (finding it would cause substantial harm to other parties to prolong the length of the proceedings while awaiting Commission’s decision on a jurisdictional issue); *Exclusive Tug*, 2002 WL 31556298 at *7.

China United has provided no basis to stay this proceeding pending its appeal, and its Motion should be denied.

Respectfully submitted,

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Counsel for Respondents

July 7, 2025

CERTIFICATE OF SERVICE

I certify that on this 7th day of July, 2025 the aforesaid motion has been filed electronically with the Secretary, with a copy to judges@fmc.gov and to the following parties of record, as provided by the Initial Order in this proceeding.

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